

Multiple Choice (10 marks)

1. Which of the following occurs when competitors' pricing policies are almost exclusively focused on competitors rather than customers?
 - (a) Price bundling.
 - (b) Price differentiation.
 - (c) Price skimming.
 - (d) Price penetration.
 - (e) Price discrimination.
2. Mr. Johnson discounted a non-interest bearing draft for \$850 due July 12 on July 1 at a discount rate of 5%. Assuming a 365-day year, what were his proceeds?
 - (a) \$850.28
 - (b) \$846.50
 - (c) \$848.72
 - (d) \$845.00
 - (e) \$850.00
3. Albert Morgan sells C.B. radios. He works on a straight 5% commission basis. His sales this week were \$3,500. How much did he earn?
 - (a) \$400.00
 - (b) \$150.00
 - (c) \$200.00
 - (d) \$175.00
 - (e) \$350.00
4. The Daily Planet's rate for one agate line of print is \$4. It has a circulation of 2 million. What is the millinerate?
 - (a) \$6.00
 - (b) \$1.50
 - (c) \$5.00
 - (d) \$4.00
 - (e) \$0.20
5. Express $(2 / 5)$ and $[1 / (100)]$ as a percentage.

- (a) 40%, 0.25%
- (b) 40%, 1%
- (c) 35%, 0.75%
- (d) 50%, 1%
- (e) 40%, 0.5%

True / False (10 marks)

Answer True or False

6. True or False: If the firm's net profit is 28,400, *each partner could receive* 10,800 due to a different profit-sharing agreement.
7. True or False: The effective yield of a 6 (3/4)% bond purchased at 88(3/4) is approximately 8.2%.
8. True or False: The probability of observing an earnings per share less than \$5.5 is approximately 0.5000.
9. True or False: Robinson, Faris, and Wind (1967) identified three main types of buying situations in organizations, known as buygroups.
10. True or False: Replacing supply chains with supply loops emphasizes the recapture of waste in a firm's redesign activities.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Analyze Mr. Glass's loan agreement with ABC Finance Company and calculate his total interest cost over the repayment period, considering the varying interest rates. Discuss the implications of such loan structures on financial decision-making.
12. Discuss Karl Marx's views on the relationship between workers and the defining characteristics of bureaucracies, and analyze the implications of this relationship for contemporary business practices.

End of Paper